

Hertz Global Holdings, Inc.: disclosure changes, FY2012 to FY2013

Comparison of the Form 10-Ks and fourth-quarter results releases for 2012 and 2013. All amounts are in \$ millions. Shares are of 2013 pre-tax income of 663.1 unless stated. "2012" and "2013" mean the FY2012 and FY2013 10-Ks.

1. Write-ups

Depreciation (Notes 2 and 8): car range lengthened, and the reason for the rate cuts changed

- **Before:** "Useful lives are as follows: Cars | 4 to 28 months"; the rate reduction "was indicative of the strong residual values" (2012 pp. 81, 113).
- **After:** "Holding periods are as follows: Cars | 4 to 36 months"; the cuts "reflect ... the optimization of fleet holding periods related to the integration of Dollar Thrifty" and were "also indicative of the residual values" (2013 pp. 91, 126).
- **Why it matters:** The top of the range rose by 8 months (29%) and "strong" was dropped in the year U.S. disposals swung from a 100.6 gain to a 48.2 loss. Neither report states the effect of the longer range separately. Size: the company's stated effect of the 2013 U.S. rate changes is $44.2 = 6.7\%$.
- **Reading:** Most likely the reporting stretched, because the justification moved from resale values to holding periods just as resale results turned negative. It would be ordinary if the longer range only reflects Dollar Thrifty's fleet practice, though that fleet was already owned when the 2012 range was set.

Business description: average holding period unchanged while its range moved

- **Before:** "approximate average holding period for a rental car was eighteen months in the United States" (2012 p. 11).
- **After:** the same words (2013 p. 11), while 2013 cites "longer holding periods" as a cause of higher maintenance cost (p. 53).
- **Why it matters:** The average reads the same while the top of its range went from 28 to 36 months, and neither report says how the average is computed, so it does not fit as stated. Size: not quantified; any income effect sits inside the 44.2 above.
- **Reading:** Can't tell; possibly the average is rounded or computed on cars sold rather than cars held. A stated method, or an average by fleet (Hertz and Dollar Thrifty), would settle it.

Controls (Item 9A): acquisition exclusion dropped, new ledger added, errors not mentioned

- **Before:** "We have excluded from our evaluation the internal controls ... of Dollar Thrifty", at "21% and 2%" of assets and revenues (2012 p. 141; auditor's report p. 71).
- **After:** exclusion dropped; new: "implemented Oracle general ledger, accounts payable and a portion of fixed assets" in the third quarter (2013 p. 159).
- **Why it matters:** 2013 is the first year Dollar Thrifty is in scope and the year of a ledger change, and the fourth quarter found 46.3 of errors (2013 p. 83) that Item 9A does not mention. Size: no 2013 income effect after revision; $46.3 = 7.0\%$ as scale.
- **Reading:** Possibly the reporting stretched, as in the earlier single-year write-up. The comparison adds that the control environment changed in two ways during the year, which makes the unchanged "effective" conclusion harder to read; a disclosed deficiency assessment would point the other way.

2. Other changes

- **Legal:** the Nevada concession-fee case went from "parties will again be engaging in mediation" (2012 p. 122) to a judgment that "could potentially exceed \$40.0 million" (2013 p. 137; exposure, 6.0%). "none of those reserves are material" is unchanged (2012 p. 123; 2013 p. 138). A securities class action is new (2013 p. 138).
- **Fleet wording:** dropped "We believe the residual values have remained fairly stronger" (2012 p. 42) and "Non-program cars typically have ... lower depreciation rates" (2012 p. 41). "we expect this percentage to continue to decrease" became "this strategy remains flexible" (2013 p. 42).
- **Adjusted pre-tax income:** "non-cash debt charges" became "debt-related charges" (2012 p. 50; 2013 p. 50). New 2013 exclusions are integration 40.0, relocation 7.8, impairment 44.0 and a 39.4 loss on note conversion, together 131.2 = 19.8%. The releases move the assumed tax rate from 34% to 35% (2012 release p. 20; 2013 release, unnumbered page).
- **Prior-year figures shown differently:** the 2012 allowance for doubtful accounts is 25.1 in 2012 (p. 72) and 29.3 in 2013 (p. 75); 2012 pre-tax income is 450.6 and then 441.4 (2013 p. 84); 2012 adjusted pre-tax income is 901.5 (2012 release p. 14) and then 892.3.
- **Property lives table:** buildings "3 to 50" became "5 to 50" years, software "1 to 15" became "1 to 10", other intangibles "3 to 20" became "3 to 10" (2012 p. 81; 2013 p. 91). No reason or effect is given.

3. Statements of lives, holding periods, residual values and reserve methods

Word search, hits and pages (2012; 2013):

- **"holding period":** 10 hits on pp. 11, 42, 44, 61, 81; 15 hits on pp. 11, 42, 45, 53, 66, 91, 126.
- **"useful life/lives":** 16 hits on pp. 46, 80, 81, 83, 85, 86, 88, 89; 16 hits on pp. 46, 83, 90, 93, 94, 96, 98, 99, 146.
- **"residual":** 43 hits on pp. 1, 11, 22-24, 40-42, 44, 53-55, 58-60, 63, 81, 113; 46 hits on pp. 1, 11, 23-25, 40-43, 45, 54, 61-64, 68, 91, 126.
- **"salvage":** none in either year.
- **"average":** 61 and 68 hits. Those about fleet are on pp. 7, 9-11, 15, 42, 49, 53 (2012) and pp. 5, 8, 10, 11, 15, 16, 42, 43, 49, 54, 61 (2013). The rest concern interest rates, pensions, share counts and stock awards.

More than twelve statements were found; the table keeps those on the largest assets.

Statement	Pages (2012; 2013)	The number (2012; 2013)	Still fits?
"eighteen months in the United States"	p. 11; p. 11	Top of car range 28; 36 months	No, as stated
"indicative of the strong residual values"; "also indicative of the residual values"	p. 113; p. 126	U.S. disposals: gain 100.6; loss 48.2	No, for 2013
Intangible lives "range from two to fifteen years"	p. 83; p. 93	Donlen lives of 16 and 20 years in both (p. 89; p. 99)	No, in both years
"longer holding periods"	not there; p. 53	U.S. depreciation and lease charges per company-operated car, about \$219; \$226 a month	Rough; can't tell
"average age of HERC's worldwide rental fleet was 43 months"	p. 15; p. 15	Average equipment cost 3,069.0; 3,401.2	Can't tell
Cars "4 to 28 months"; "4 to 36 months"	p. 81; p. 91	Top of range up 8 months	Changed; see write-up
International "fourteen months"; "thirteen months"	p. 11; p. 11	International cars sold 54,500; 64,500	Rough; direction fits
"Other equipment: 24 to 108 months"	p. 81; p. 91	Depreciation before disposal gains over average cost, 9.3%; 9.6%	Rough; yes

Statement	Pages (2012; 2013)	The number (2012; 2013)	Still fits?
"average holding period for non-program vehicles is longer"	p. 42; p. 42	U.S. non-program share 95%; 91%	Yes
Self-insured liability "recorded on a non-discounted basis"	p. 82; pp. 91-92	Reserve 332.2; 347.7, or 3.3% of 2012 pro forma revenue; 3.2% of 2013 revenue	Rough; yes
Allowance "based on our historical experience and our judgment"	p. 80; p. 90	1.5%; 2.0% of gross receivables (2012 as revised)	Yes
Concessions "useful lives of nine years"	p. 88; p. 98	405 over nine years is 45.0 a year; 44.5 booked in 2013	Yes

4. Disclosed changes in estimates or policies

Change	Year	Stated effect on income	Page
U.S. car depreciation rates	2012	Expense lower by 139.4 (31.6% of 2012 pre-tax income of 441.4)	2013 p. 126
U.S. car depreciation rates	2013	Expense lower by 44.2 (6.7%)	2013 p. 126
Correction of errors (vendor incentives, Brazil, other)	2011-2013	Pre-tax lower by 18.7 in 2011, 9.2 in 2012, 11.6 in the first nine months of 2013	2013 pp. 83-87
International car and equipment rental depreciation rates	2012, 2013	International expense higher by 8.8, then 5.0 (0.8%); equipment higher by 0.5, then lower by 0.4	2013 p. 126
Policy for settling convertible notes	2013	7.7 added back to net income for earnings per share; no pre-tax effect	2013 p. 149
Four reportable segments; revolver cash flows shown gross	2013	None stated	2013 p. 83

The 2012 report gave the 2012 car figure as one worldwide number, 130.6 (p. 113); the 2013 split of 139.4 and 8.8 ties to it.

5. Not in the documents

Both reports are complete, but neither gives residual values or the method behind the average holding period, and the Item 13 related-party detail is in proxy statements that are not attached.